

Advanced Micro Devices, Inc. (AMD.US)

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 22, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-22

UNDERWEIGHT

Blended Target: \$487.90

DCF + Comps + Analyst (see cross-check table)

Implied upside: -10.6%

Price (Jun): \$545.57

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$487.90 (-10.6% vs \$545.57); multi-method valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **UNDERWEIGHT** rating; blended target \$487.90. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$889.60B	Shares Out.	1630.6M
52-Week Range	\$126.82 – \$562.99	P/E (TTM)	181.3x
P/B	13.8x	Beta	2.49
Avg Volume	37.96M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$37.45B	Rev Growth	+37.8%
Op. Margin	14.4%	FCF (TTM)	\$6.74B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,785	34,639	47,733	60,721	72,741
Revenue Growth (%)	N/A	34.3%	37.8%	27.2%	19.8%
Net Income (\$M)	1,641	4,335	5,974	7,599	9,103
Net Income Growth (%)	N/A	164.2%	37.8%	27.2%	19.8%
Gross Margin (%)	49.4%	49.5%	53.1%	53.1%	53.1%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
ROE (%)	2.9%	6.9%	9.5%	10.9%	12.5%
EPS (\$)	1.01	2.66	3.66	4.66	5.58
Book Value / Share (\$)	35.30	38.64	38.64	42.60	44.73
P/E (x)	542.11	205.21	148.92	117.07	97.72
P/B (x)	15.45	14.12	14.12	12.81	12.20
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$42.61	-92.2%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Comps — P/S (peer median)	\$214.54	-60.7%	—	Peer median P/S 9.3x
Comps — Blended (avg. of available multiples)	\$214.54	-60.7%	0% (excluded)	Diverges below other methods (44% of median)
Analyst consensus (Yahoo Finance)	\$487.90	-10.6%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	\$487.90	-10.6%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	17.71%
Terminal g	4.00%
FCFE growth	10.00%
Base FCFE	\$6.74B
PV explicit (5Y)	\$29.96B
PV terminal	\$39.52B
Equity value (adj.)	\$69.48B
Implied price	\$42.61
vs. current	-92.2%

INDUSTRY ANALYSIS

1. Industry Overview

Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and Embedded. The company offers artificial intelligence (AI) accelerators, microprocessors, and graphics processing units (GPUs) as standalone devices or as incorporated into accelerated processing units, chipsets, and data center and professional...

2. Key Trends

- Strong top-line growth (37.8% YoY)
- Healthy operating margins (14.4%)
- Above-market volatility (β=2.49)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 181.3x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.75T	22.0x	15.5x	39.3%	+18.3%
GOOGL	Alphabet Inc.	\$4.25T	26.6x	27.4x	37.9%	+21.8%
META	Meta Platforms, Inc.	\$1.43T	20.6x	13.5x	32.8%	+33.1%
NVDA	NVIDIA Corporation	\$5.06T	32.0x	30.6x	63.0%	+85.2%
AMD*	Advanced Micro Devices	\$889.60B	181.3x	116.8x	13.4%	+37.8%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.